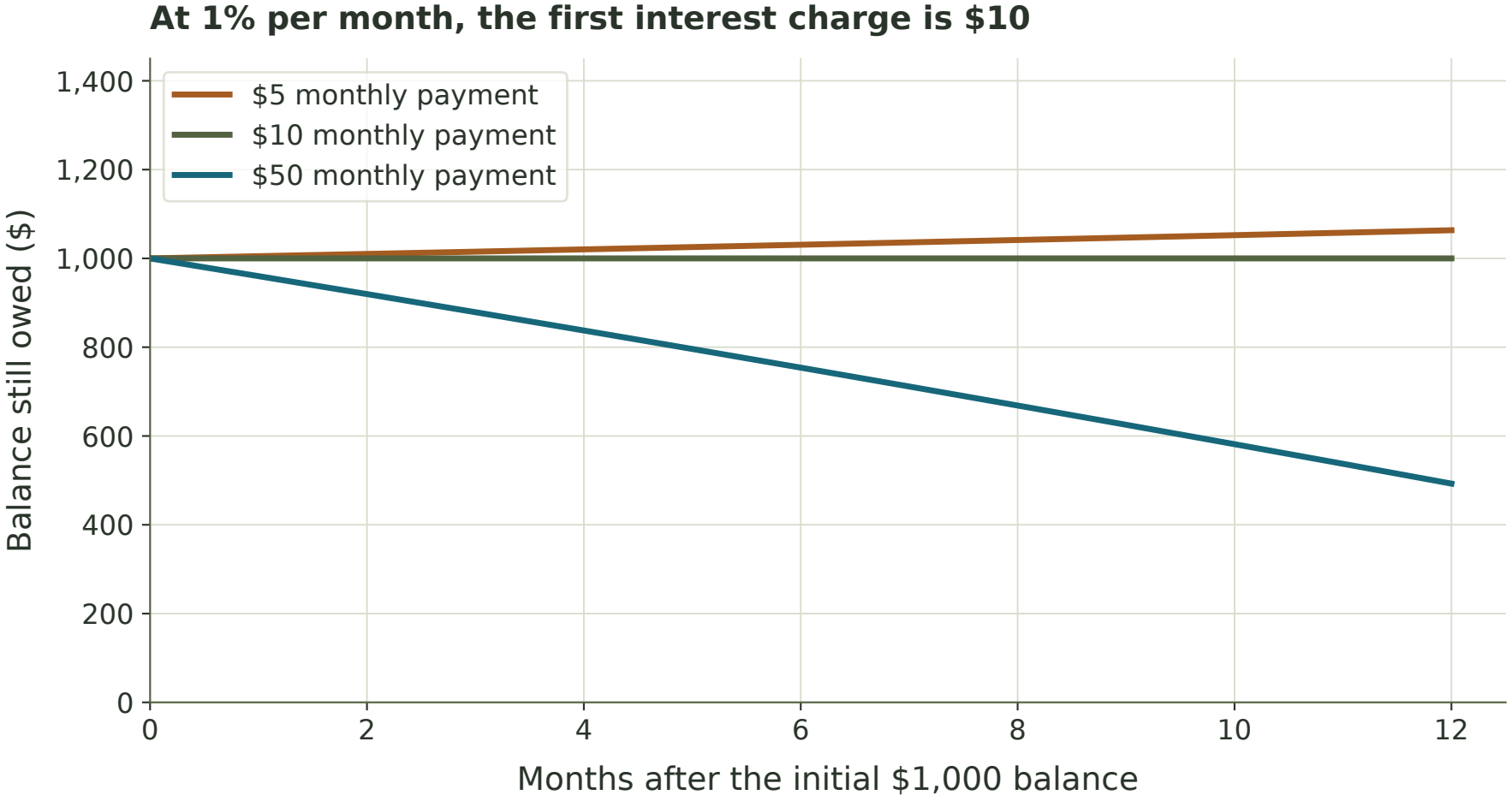
At 1% per month, the first interest charge is $10
$5 monthly payment
$10 monthly payment
$50 monthly payment
Balance still owed ($)
1,400
1,200
1,000
800
600
400
200
0
0
2
4
6
8
10
12
Months after the initial $1,000 balance